

12	Lemus vs. BluKey 30-2023-01303205	<u>Motions to Set Aside</u> Defendant Isabella Nguyen’s Motion to Set Aside Default is DENIED. Defendant BluKey’s Motion to Set Aside Default is GRANTED. Defendants BluKey San Diego, Inc.’s and BluKey Real Estate, Inc.’s Motion to Set Aside Default Judgments [C.C.P. § 473(b)] are GRANTED. The Defaults entered against Defendants BluKey; BluKey San Diego, Inc.; and BluKey Real Estate, Inc. are SET ASIDE. The Default Judgments issued against Defendant BluKey; BluKey San Diego, Inc.; and BluKey Real Estate, Inc. are VACATED. Defendants BluKey; BluKey San Diego, Inc.; and BluKey Real Estate, Inc. are ORDERED to file their answer to the Complaint within 15 days of this ruling, and to serve their answer on all parties that have appeared in this matter within 60 days of this ruling. The court SETS a Case Management Conference for October 15, 2026 at 9:00 a.m. in Department N15. <u>Pending Motions</u> Defendants Isabella Nguyen; BluKey; BluKey San Diego, Inc.; and BluKey Real Estate, Inc. move to set aside the defaults entered against them and the default judgments issued against them. <u>Standard for Statutory Set Aside Entry of Default or Default Judgment</u> The Civil Procedure Code grants the court discretion to “relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect.” (Code Civ. Proc., § 473, subd. (b).)

		"Because the law strongly favors trial and disposition on the merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default." (<i>Elston v. City of Turlock</i> (1985) 38 Cal.3d 227, 233, superseded by statute, on other grounds, as discussed in <i>Tackett v. City of Huntington Beach</i> (1994) 22 Cal.App.4th 60, 64.) "Section 473 is often applied liberally where the party in default moves promptly to seek relief, and the party opposing the motion will not suffer prejudice if relief is granted." (<i>Ibid.</i>) Nonetheless, the requirement that the judgment or order have been entered through "inadvertence, surprise, excusable neglect, or mistake" is "not meaningless, and the party requesting such relief must affirmatively show that the situation is one which clearly falls within such category." (<i>In re Wolper's Estate</i> (1956) 146 Cal.App.2d 249, 251.) As the Court of Appeal has explained: It is obvious that a party who seeks relief under [section 473] must make a showing that due to some mistake, either of fact or of law, of himself [or herself] or of his [or her] counsel, or through some inadvertence, surprise or neglect which may properly be considered excusable, the judgment or order from which he [or she] seeks relief should be reversed. In other words, a burden is imposed upon the party seeking relief to show why he [or she] is entitled to it, and the assumption of this burden necessarily requires the production of evidence. (<i>Hewins v. Walbeck</i> (1943) 60 Cal.App.2d 603, 609-610.) In addition, a motion for relief from default under Section 473 "shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken." (Code Civ. Proc., § 473, subd. (b).) The "six-month time limitation is jurisdictional; the court has no power to grant relief under section 473 once the time has lapsed." (<i>Austin v. Los Angeles Unified School Dist.</i> (2016) 244 Cal.App.4th 918, 928.)
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		under section 473 is available, there is a strong public policy in favor of granting relief and allowing the requesting party his or her day in court. Beyond this period there is a strong public policy in favor of the finality of judgments and only in exceptional circumstances should relief be granted." (<i>Rappleyea v. Campbell</i> (1994) 8 Cal.4th 975, 981-982, quoting <i>In re Marriage of Stevenot</i> (1984) 154 Cal.App.3d 1051, 1071.) Extrinsic fraud only arises when one party has in some way fraudulently been prevented from presenting his or her claim or defense. (<i>Sporn v. Home Depot USA, Inc., supra</i>, 126 Cal.App.4th at p. 1300.) There is no evidence of extrinsic fraud in this matter. The other ground for equitable relief is extrinsic mistake — a term broadly applied when circumstances extrinsic to the litigation have unfairly cost a party a hearing on the merits. (<i>Rappleyea v. Campbell, supra</i>, 8 Cal.4th at p. 981.) Extrinsic mistake exists when the ground of relief is the excusable neglect of the defaulting party to appear and present his claim or defense. If that neglect results in an unjust judgment, without a fair adversary hearing, the basis for equitable relief on the ground of extrinsic mistake is present. (<i>Mechling v. Asbestos Defendants</i> (2018) 29 Cal.App.5th 1241, 1246.) There are three essential requirements to obtain equitable relief from default. The party in default must show a meritorious defense, a satisfactory excuse for not presenting a defense to the original action, and diligence in seeking to set aside the default once it was discovered. (<i>Rappleyea v. Campbell, supra</i>, 8 Cal.4th at p. 982; <i>Sporn v. Home Depot USA, Inc., supra</i>, 126 Cal.App.4th at p. 1301; <i>Mechling v. Asbestos Defendants, supra</i>, 29 Cal.App.5th at p. 1246 ["To qualify for equitable relief based on extrinsic mistake, the defendant must demonstrate: (1) "a meritorious case"; (2) "a satisfactory excuse for not presenting a defense to the original action"; and (3) "diligence in seeking to set aside the default once the fraud [or mistake] had been discovered."].)
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		connection to Plaintiff or to the property at issue. (<i>Id.</i>, ¶ 14.) These defendants provided Plaintiff’s counsel with the contact information for Defendant Isabella Nguyen and Plaintiff’s counsel promised to dismiss them from the lawsuit. (<i>Id.</i>, ¶ 15.) This evidence is relevant for its effect on the Defendants and their failure to file a responsive pleading. (<i>People v. Ramirez</i> (2022) 13 Cal.5th 997, 1115 [“Evidence of an out-of-court statement may be admitted for the nonhearsay purpose of showing its effect on the listener so long as that effect is relevant to an issue in dispute.”].) Plaintiff did not dismiss Defendants BluKey San Diego, Inc. and BluKey Real Estate, Inc. Instead, their defaults were entered on March 15, 2024. (ROA #34, #36.) Those requests for entry of default indicated Plaintiff served the requests on Defendants at 9365 Fosteria Court San Diego, CA 92127, but that street name was misspelled and should have been spelled “Fostoria.” (<i>Ibid.</i>; Declaration of Bao Quoc Nguyen, ¶¶ 7, 13.) Defendants BluKey San Diego, Inc. and BluKey Real Estate, Inc. have shown a satisfactory excuse for not presenting a defense earlier. They have also met their burden of showing they have a meritorious defense and that they exercised diligence in seeking to set aside the default once it was discovered. Defendants have provided evidence that they had no connection to or involvement with Plaintiff regarding the work he was performing at the property in Mission Viejo. (Bao Quoc Nguyen Dec., ¶¶ 10-12, 14-26.) Defendants discovered the judgment in late January 2026, attempted to resolve the issue, and filed this motion on March 5, 2026 accompanied by a proposed Answer. (<i>Ibid.</i>) The court will deny the motion to set as to Defendant Isabella Nguyen and grant the motion to set aside as to Defendants BluKey; BluKey San Diego, Inc.; and BluKey Real Estate, Inc. Defendants BluKey; BluKey San Diego, Inc.; and BluKey Real Estate, Inc. shall give notice of this ruling.
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